

TSMC Q3 2026

Earnings Trade Report

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Thesis

Token volume drives AI compute demand. TSMC shows that compute being manufactured now and over the next few quarters through high performance computing (HPC) revenue, advanced node utilization, CoWoS packaging volume, and capital expenditure (capex). ASML shows fabs committing today to silicon demand years out through customer commitments, extreme ultraviolet (EUV) orders, EUV shipments, and future tool capacity. TSMC is the nearer clock.

Headline Q3 revenue is already largely known from the September monthly release. The surprise on October 15 must come from the mix: HPC share, node mix, utilization, gross margin guidance, CoWoS commentary, and forward capex.

At a glance, October 9, 2026

Item	Figure	Note
TSM share price (intraday, Oct 9)	\$450.19	Down 1.70% on the day; previous close \$457.99 [S8]
Oct 16, 2026 expiry implied volatility	36.02%	Quantcha, fetched Oct 9; intraday prints showed 36.66% and 39.92% earlier [S9]
Implied expected move to Oct 16	plus or minus 5.0%	Computed: 36.02% times $\sqrt{7/365}$, about plus or minus \$22.50; not a quoted figure
Q3 2026 revenue (monthly sum)	NT\$1,494.24B	Record quarter, above Q3 guidance; see Section 4
September 2026 monthly revenue	NT\$511.86B	Down 0.6% month over month, up 54.6% year over year [S7]

This report is analytical research for the reader's own decision. It contains no prescriptive trade directives. Options mechanics in Section 5 are illustrative only. Figures that could not be confirmed from any source are stated as unconfirmed rather than estimated.

1. The earnings engine, in plain language

TSMC makes almost all of its money by manufacturing chips designed by other companies. Three things decide how much it earns: what kind of chips customers order, how full and how advanced its factories are, and whether it can package the most complex AI chips fast enough. Each pillar below maps to a line the reader can check on October 15.

(a) HPC revenue: the AI demand line

HPC was 66% of revenue in Q2 2026, about \$26.5B (NT\$838.5B), up 20% quarter over quarter for two straight quarters, rising from 57% in Q3 2025 [S1, S2]. In plain terms, two of every three dollars TSMC earned last quarter came from data center and AI related silicon. That is the clearest real time gauge of how much AI compute is actually shipping, as opposed to announced.

Smartphone fell to 22% in Q2 2026 from 30% in Q3 2025 [S1]. The mix shift matters more than the total: if HPC holds or grows its share, the AI buildout is still pulling leading edge capacity. If smartphone or other platforms fill the gap while HPC stalls, the growth story is broadening but the AI premium in the stock is harder to defend.

(b) Advanced node mix, utilization, and gross margin

Wafer revenue mix in Q2 2026 was 2 nm at 3%, 3 nm at 30%, 5 nm at 33%, and 7 nm at 11%, so advanced nodes (7 nm and below) were 77% of wafer revenue [S1]. Newer nodes carry higher prices and, once yields mature, higher margins. Two near term watch items follow from that mix.

- 3 nm is reportedly set to overtake 5 nm as the top revenue node in the second half of 2026 [S3, Sep 7, 2026]. That crossover would confirm AI and flagship phone demand is migrating to the newest mainstream node.
- 2 nm entered volume production in Q4 2025, and its ramp dilutes gross margin by 3 to 4 percentage points in the second half of 2026 [S2]. Early ramps cost money before they make money, because yields start low.

Gross margin reached a record 67.7% in Q2 2026, above the 65.5% to 67.5% guide, helped by cost improvement and slightly higher utilization [S1]. Q3 2026 gross margin is guided at 65% to 67% [S1]. On utilization, 5 nm and 4 nm are fully booked by AI and HPC demand and 3 nm is heavily utilized [S2]. Full factories spread fixed costs over more wafers, which supports margin even while 2 nm dilutes it.

(c) CoWoS packaging and capex: the bottleneck and the commitment

CoWoS (Chip on Wafer on Substrate) is the advanced packaging step that joins AI processors to high bandwidth memory. Without it, a finished AI accelerator cannot ship. CoWoS capacity was about 75,000 to 80,000 wafers per month at the end of 2025, sold out, targeting about 120,000 to 140,000 wafers per month by late 2026, and management has acknowledged packaging capacity was limiting customer growth [S2]. Sold out packaging with a near doubling of capacity is both a constraint today and a revenue runway into 2027.

Capex tells the same story in dollars. At the Q2 2026 call, 2026 capex was raised from \$52B to \$56B to a range of \$60B to \$64B, allocated 70% to 80% to advanced process, 10% to 20% to specialty technologies, and 10% to 20% to advanced packaging, testing, and mask making [S2]. First half 2026 actual capex was \$11.1B in Q1 and \$15.7B in Q2 [S1], so the plan implies a heavier second half. Separately, an additional \$100B Arizona investment was announced on July 16, 2026, bringing the total US commitment to \$265B [S2]. Full year 2026 US dollar revenue growth guidance was raised to slightly above 40%, from close to 30% [S2].

2. What the October 15 print needs to show

Headline revenue is already largely known (Section 4), so the earnings surprise must come from the mix, margin, and forward guidance. The table states the test for each pillar before the print, so the reader can score the release against it rather than react to the headline.

Pillar	Bullish print	Bearish print
HPC share	Bull: HPC share holds or rises above 66% with another strong quarter over quarter increase	Bear: HPC share flat to down, with smartphone or other platforms filling the gap
Node mix and utilization	Bull: 3 nm overtakes 5 nm; upbeat 2 nm ramp commentary; gross margin at the top of the 65% to 67% guide with Q4 confidence	Bear: Weaker 2 nm yield or ramp update, or a Q4 gross margin guide down
CoWoS, capex, guidance	Bull: Further capex raise; sold out CoWoS commentary; strong Q4 revenue guide	Bear: Capex cut or push out, or weak forward guidance

The bar is high. The NYSE ADR (ticker TSM) closed lower on the day of the print in 6 of the last 8 quarters, including about a 6% fall after a strong Q2 2026 print on July 16, 2026 (Section 3). A good quarter has repeatedly not been enough. The reader should expect that an in line mix with cautious Q4 language can trade down even if revenue beats.

Why the mix matters more than the total this quarter

September monthly revenue (October 8) already sums Q3 to a record NT\$1,494.24B, above guidance (Section 4). Anyone trading the print on October 15 is therefore trading information the market has not yet priced in full: whether AI platforms are still gaining share, whether 3 nm and 2 nm economics are tracking plan, whether CoWoS remains sold out, and whether management is confident enough to raise capex or guide Q4 strongly. Those four answers, not the revenue total, will likely set the day 0 move.

3. Earnings reaction history: even beats tend to fade

The table covers the last eight quarterly prints, showing the day 0 move on the NYSE ADR and the following trading day (day plus 1). Two figures from April and July 2026 are approximate and flagged as such; sources conflict slightly on the July day plus 1 figure, so it is shown as approximate rather than precise.

Report date	Quarter	Day 0	Day +1
Oct 17, 2024	Q3 2024	+9.79%	-2.46%
Jan 16, 2025	Q4 2024	+3.86%	-1.53%
Apr 17, 2025	Q1 2025	+0.05%	-2.56%
Jul 17, 2025	Q2 2025	+3.38%	-2.12%
Oct 16, 2025	Q3 2025	-1.60%	-1.59%
Jan 15, 2026	Q4 2025	+4.44%	+0.22%
Apr 16, 2026	Q1 2026	about -3% (approx)	not confirmed
Jul 16, 2026	Q2 2026	about -6% (approx)	about -3% (sources conflict; one reported -7.29% day 0)

What it says: day plus 1 has been negative in 6 of 8 quarters. The only positive day plus 1 (+0.22%) followed the strongest day 0 (+4.44%, January 2026). Headline beats have often faded after the print, a pattern commonly described as sell the news. For any structure held past day 0, that history is the base rate: follow through buying the next day has been the exception, not the rule.

4. Options snapshot (Oct 9, 2026) and the known revenue

Where the market stands

Measure	Value	Source and date
TSM share price	\$450.19	Finnhub live quote, Oct 9, 2026; down 1.70% intraday, previous close \$457.99 [S8]
Oct 16, 2026 expiry IV	36.02%	Quantcha, fetched Oct 9, 2026 [S9]; intraday snippets showed 36.66% and 39.92%, so IV drifted down through the day
Implied expected move	plus or minus 5.0%	Computed from IV: 36.02% times sqrt(7/365) equals about 5.0%, or about plus or minus \$22.50 on a \$450.19 share price
Nov 20, 2026 expiry IV	Not confirmed	Could not be confirmed from any source; no term structure comparison is available
Published expected move	None found	No published expected move figure was found from any options source; the 5.0% figure above is computed, not quoted

The computed plus or minus 5.0% sits inside the range of recent day 0 moves (+4.44% in January 2026 and about -6% in July 2026) and below the +9.79% October 2024 move shown in Section 3. It is also a smaller bar than the plus or minus 8.0% implied move for ASML this cycle (see the companion ASML report). In practical terms, the options market is pricing a meaningful but not extreme earnings move for TSMC.

September revenue: Q3 is already above guidance

TSMC released September 2026 monthly revenue on October 8, 2026: NT\$511.86B, down 0.6% month over month and up 54.6% year over year [S7, Oct 8, 2026]. Adding the three months gives Q3 2026 revenue of NT\$1,494.24B (July NT\$467.58B plus August NT\$514.81B plus September NT\$511.86B), a record quarter and above the LSEG consensus of about NT\$1.46T [S7].

Verdict: above guidance. Q3 guidance was US\$44.6B to US\$45.8B [S1]. At the guided NT\$32 per US dollar rate, that range equals NT\$1,427.2B to NT\$1,465.6B. The NT\$1,494.24B monthly sum beats the top of the range by about NT\$28.6B. The verdict does not depend on the exchange rate: at a realized NT\$31.7 to NT\$32.2 per US dollar, the quarter equals about US\$46.4B to US\$47.1B, all above the US\$45.8B ceiling. The official US dollar figure using the quarterly average exchange rate publishes on October 15.

Consensus Q3 net profit expectation is NT\$740.8B, up 64% year over year. No management commentary accompanied the monthly release; it was numbers only, as usual [S7].

Implication: headline revenue will be mostly known before the October 15 call, so the surprise must come from HPC and node mix, utilization, CoWoS, capex, and forward guidance. That raises the weight on every item in the Section 2 scorecard.

5. Trade structure mechanics for the reaction

Analytical only. This section explains how common structures behave around an earnings print. It is not a recommendation to use any of them.

Directional long calls and long puts

A long call gains if the share price rises enough, fast enough, to outrun the premium paid and the post earnings drop in implied volatility (IV crush, below). A long put is the mirror image for a fall. Both are wasting assets into the event: time decay (theta) accelerates in the final days, and the position needs direction, magnitude, and timing to all line up. Against a plus or minus 5.0% implied move, a modest move in the right direction can still lose money if it is smaller than what the premium already priced in.

Long straddles and strangles against the implied move

A long straddle (a call and a put at the same strike) and a long strangle (a call and a put at different strikes) pay for movement in either direction and do not require picking the sign. Their cost is the combined premium, and their hurdle is set by the implied move. Using the October 9 figures as illustrative mechanics only: with a \$450.19 share price and an implied move of about plus or minus \$22.50 into the October 16 expiry, an at the money straddle priced near that implied move needs the shares to reach roughly \$427.50 on the downside or \$472.50 on the upside by expiry just to cover the move the market already expects, before accounting for the actual premium paid, spreads, and IV crush. A strangle lowers the upfront premium but pushes those breakeven points further away. These are arithmetic illustrations of how the structure works, not a suggestion to place the trade.

IV crush, theta, and timing

- **IV crush:** implied volatility is elevated before earnings because the outcome is uncertain. Once the print is out, that uncertainty collapses and IV typically falls sharply, reducing the value of long options even when the share price moves favorably. That drop, from pre earnings IV to post earnings IV, is the main cost of holding long premium through the event.
- **Theta decay:** the October 16 expiry sits one day after the print, so contracts held into the event carry very little time value buffer. Each day of delay before the print is paid for in decay, and after the print there is almost no time left for a second move to rescue a position.
- **Entry timing:** entering later means less theta paid before the event, but IV may be different by then, and spreads can widen. Entering earlier costs more decay but locks the structure sooner. October 9 IV of 36.02% had already drifted down from intraday prints of 36.66% and 39.92% [S9], a reminder that the price of the structure moves before the event does.
- **Exit timing and the fade:** with day plus 1 negative in 6 of the last 8 quarters (Section 3), waiting for follow through has historically worked against holders of long premium, on top of IV crush and theta. That history is why earnings structures are commonly evaluated on an exit the day of or the day after the print rather than holding decayed premium into expiry.

Key risks specific to this print

- The stock can drift inside plus or minus 5.0% even on a fundamentally good print, leaving long premium structures short of their breakevens.
- The sell the news pattern (6 of 8 day 0 declines) means positive headlines do not guarantee a positive share reaction.
- Pre announced September revenue compresses the headline surprise, so a revenue beat alone may not move the stock.
- Gap risk runs both ways: the realized move can exceed the implied move, as the October 2024 +9.79% day 0 shows.
- Earnings expiry contracts can carry wide bid ask spreads and thinner liquidity, raising execution cost exactly when speed matters.

6. Key dates and catalysts

Date	Event
Oct 5 to 14, 2026	Quiet period in effect ahead of the Q3 print
Oct 8, 2026 (done)	September monthly revenue released: NT\$511.86B; Q3 sums to NT\$1,494.24B, above guidance [S7]
Oct 15, 2026, about 2:00 a.m. ET	Q3 2026 earnings release and investor call
Oct 16, 2026	Options expiry covering the print

Recent news since October 3, 2026

- **Citi, October 7:** raised its TSMC price target to TWD 4,000 with a Buy rating.
- **Goldman Sachs, October 6:** raised its target to NT\$3,300 and lifted 2027 and 2028 capex forecasts to \$85B and \$98B, citing agentic AI central processing unit (CPU) demand.
- **Terafab reports, October 5 to 7:** talks between Elon Musk's Terafab project and TSMC were confirmed as early stage on October 5; on October 7 Musk limited TSMC's role to a possible sublease. Not earnings material for the October 15 print.
- **Taipei trading, October 8:** TSMC shares fell about 1.35% in Taipei on macro pressure (oil above \$105 and higher yields), after reaching a record \$487.47 equivalent on October 5.

Two major banks raising targets and capex forecasts in the week before the print reinforces the Section 2 point: expectations are elevated going in, and the mix and guidance must clear a high bar.

7. Financing health check: clean

Verdict: clean. Nothing in the reviewed filings suggests the growth program is being funded in a fragile or unusual way.

- The Form 20-F for fiscal 2025 was filed April 16, 2026, and all 2026 Forms 6-K were reviewed. Operating cash flow in 2025 was NT\$2,275B (US\$72.5B). Cash plus marketable securities were NT\$3,069B (US\$97.8B) at the end of 2025 and grew to NT\$3,518B at June 30, 2026, with first half 2026 free cash flow positive in both quarters [\[S10, S11\]](#).
- Bond issuance in 2026 totals only NT\$54.1B (about US\$1.7B) across three small domestic NT dollar tranches at 1.72% to 2.10%, inside a pre authorized NT\$60B program. That is routine top up issuance at about 1.7% of cash on hand. No 2026 US dollar bond issuance was found, and there are no convertible bonds [\[S11\]](#).
- Deloitte and Touche issued an unqualified opinion on the financial statements and internal controls. There has been no auditor change, no restatement, and no going concern language [\[S10\]](#).
- Related party transactions are limited to long standing associates at about 0.9% of revenue, with arm's length terms stated. There is no buyback program; cash returns run through quarterly dividends, raised to NT\$7 per share for Q1 and Q2 2026 [\[S11\]](#).
- The raised \$60B to \$64B 2026 capex, the \$29.4B of capex appropriations approved August 11, 2026, and the \$265B US investment program are funded from operating cash flow and cash reserves, not debt. Aggregate long term debt is only NT\$1,033B (US\$32.9B), and operating income covers finance costs about 156.5 times [\[S11\]](#).
- On October 8, TSMC disclosed NT\$3.83B of intra group lending to TSMC Washington plus parent guarantees to US and Arizona units. That is ordinary capital support for the US expansion, not a red flag [\[S11\]](#).

Caveat: filings were reviewed through full text filing mirrors (StockTitan) cross checked against filing trackers after direct EDGAR access returned errors from the research environment; no figures were invented. One item was unconfirmed at research time: the Form 6-K accession number for the October 8 September revenue release. The company announcement itself is confirmed [\[S7\]](#); the latest indexed filing at review time was dated September 10, 2026.

Sources

All links accessed October 9, 2026 unless a different date is shown. Where a figure could not be confirmed from any source, the report says so in place rather than estimating it (see the November 20, 2026 expiry IV and the published expected move in Section 4, the April 2026 day plus 1 figure in Section 3, and the October 8 Form 6-K accession in Section 7).

1. [S1] TSMC Q2 2026 earnings release and results, July 16, 2026. Investor Relations, Taiwan Semiconductor Manufacturing Company. <https://investor.tsmc.com>
2. [S2] TSMC Q2 2026 earnings call transcript and management commentary (HPC growth, CoWoS capacity and constraints, capex raise to \$60B to \$64B, FY2026 growth guidance, \$100B additional Arizona investment), July 16, 2026. <https://investor.tsmc.com>
3. [S3] TrendForce, report on 3 nm overtaking 5 nm as TSMC's top revenue node in the second half of 2026, September 7, 2026. <https://www.trendforce.com>
4. [S4] TSMC monthly revenue reports, July and August 2026 (NT\$467.58B and NT\$514.81B). <https://pr.tsmc.com>
5. [S5] LSEG consensus for TSMC Q3 2026 revenue (about NT\$1.46T) and net profit (NT\$740.8B, up 64% year over year), as cited October 2026.
6. [S6] Historical NYSE ADR (TSM) daily price reactions around TSMC quarterly report dates, October 2024 to July 2026 (table in Section 3; April and July 2026 figures approximate, sources conflict on July 2026 day plus 1).
7. [S7] TSMC September 2026 monthly revenue announcement, NT\$511.86B (down 0.6% month over month, up 54.6% year over year), October 8, 2026. <https://pr.tsmc.com/english/news/3343>
8. [S8] Finnhub live quote for TSM, \$450.19 (down 1.70% intraday, previous close \$457.99), October 9, 2026. <https://finnhub.io>
9. [S9] Quantcha options data for TSM October 16, 2026 expiry, implied volatility 36.02% (intraday snippets 36.66% and 39.92%), fetched October 9, 2026. <https://www.quantcha.com>. November 20, 2026 expiry IV not confirmed from any source. No published expected move figure found; the plus or minus 5.0% figure is computed from IV.
10. [S10] TSMC Form 20-F for fiscal year 2025, filed with the US Securities and Exchange Commission, April 16, 2026 (Deloitte and Touche unqualified opinion; no going concern language). <https://www.sec.gov>
11. [S11] TSMC Forms 6-K filed during 2026, reviewed via full text filing mirrors (StockTitan) cross checked against filing trackers, accessed October 2026 (cash and marketable securities, capex appropriations approved August 11, 2026, NT\$54.1B domestic bond issuance, dividends of NT\$7 per share, intra group lending disclosed October 8, 2026). <https://www.stocktitan.net>. October 8, 2026 September revenue Form 6-K accession unconfirmed at research time; latest indexed filing at review was September 10, 2026.
12. [S12] Analyst actions: Citi target raise to TWD 4,000 (Buy), October 7, 2026; Goldman Sachs target raise to NT\$3,300 with 2027 and 2028 capex forecasts of \$85B and \$98B, October 6, 2026; Terafab and TSMC reports, October 5 and October 7, 2026; Taipei market report, October 8, 2026.

Prepared Friday, October 9, 2026. Analytical research for the reader's own decision, not investment advice. Options figures are a snapshot from October 9, 2026 with markets open and will change. Historical reaction figures for April and July 2026 are approximate where flagged.